

ASSIGNMENT 1: Privacy Statement for Zer-0 Automotive (Under American Law)

Privacy Statement for Zer-0 *Effective Date: 7/25/2026*

1. Introduction and Compliance Welcome to Zer-0, an Idaho-based technology company specializing in zero-emission vehicles (model z-1). This Privacy Statement outlines our data practices in compliance with United States consumer protection laws, including Section 5 of the Federal Trade Commission (FTC) Act, which prohibits unfair or deceptive practices, and comprehensive state privacy laws such as the California Consumer Privacy Act (CCPA).

2. Data Collection and Usage Purposes To deliver our vehicles and services, we process your personal data for the following specific business purposes:

- **Sales Processing and Retailer Intermediaries:** We process your personal data (such as financial information and contact details) to finalize the sale and delivery of your vehicle. To facilitate this, we determine the role of our third-party retailers as intermediaries and share necessary sales data with them to complete your transaction and provide local dealership support.
- **On-Board Diagnostics and Research:** For continuous innovation, we process technical data collected from the on-board diagnostics of your z-1 car (e.g., battery health and power consumption). We share this empirical data with our dedicated battery technology research partner to develop our future car models.
- **Customer Data for Future Reference:** When you use our website to customize a car according to provided options, we store this personal data for your future reference so you can easily retrieve your build. Additionally, we retain your existing customer data to promote and market our upcoming second production line to you.
- **Website Cookies and Analytics:** We store personal data gained from cookies and similar tracking technologies on our website. This allows us to provide a customized browsing experience and generate additional income through the display of personalized advertisements.

3. Your Consumer Rights (U.S. Law / CCPA) Depending on your state of residence, you are granted specific consumer rights regarding your data:

- **Right to Know and Access:** You may request the categories and specific pieces of personal information we have collected.
- **Right to Delete:** You may request the deletion of personal data we hold, subject to certain exceptions.
- **Right to Opt-Out of Sale:** You have the right to direct us not to sell your personal information to third parties (including personalized advertising cookie data). Please click the "Do Not Sell My Personal Information" link on our website to exercise this right.

ASSIGNMENT 2: GDPR Alterations and European Law Compliance

1. Differences Between USA and European Privacy Laws The privacy laws in the United States and Europe are fundamentally different. American law is largely sectoral and relies heavily on an "opt-out" mechanism (e.g., the CCPA allows data collection but gives consumers the right to opt-out of sales) and consumer protection against deceptive practices (FTC). In contrast, the European Union views data protection as a fundamental human right. Therefore, to operate in Europe, a privacy statement needs to be in accordance with the **General Data Protection Regulation (GDPR)**. The GDPR requires explicit "opt-in" consent for many processing activities and mandates that organizations integrate data protection directly into their systems by design.

2. Highlighting and Altering the Privacy Statement for GDPR Compliance

- **Highlight 1 (Cookies & Marketing):** *"We store personal data gained from cookies on our website... to generate additional income through the display of personalized advertisements."*
 - **GDPR Alteration:** Under GDPR, we cannot use an opt-out model for tracking cookies. This section must be altered to reflect an **opt-in** mechanism based on Article 6(1)(a) Consent.
 - *Altered text:* "We will only store personal data gained from tracking cookies for personalized advertisements if you explicitly consent (opt-in) via our cookie banner. You can withdraw this consent at any time."
- **Highlight 2 (On-Board Diagnostics & Research):** *"We process technical data collected from the on-board diagnostics... We share this empirical data with our dedicated battery technology research partner..."*
 - **GDPR Alteration:** Under GDPR, sharing massive amounts of diagnostic data requires strict technical safeguards. We must alter this process to comply with the principles of **Privacy by Design** and **Privacy by Default**.
 - *Altered text:* "Following the principles of privacy by design and by default, all on-board diagnostic data shared with our research partner is strictly pseudonymized and encrypted before transfer, ensuring your identity is protected."

3. Legal Reasoning Based on GDPR Articles and Recitals To substantiate the alterations regarding the on-board diagnostic data, we must implement appropriate technological measures:

- **Article 25.1 (Data Protection by Design and by Default):** This article dictates that Zer-0 must implement appropriate technical and organizational measures (such as pseudonymisation) at the time of the determination of the means for processing. This ensures that the system is designed to protect user privacy from the ground up.
- **Article 32.1 (Security of Processing):** This requires Zer-0 and the research partner to implement a level of security appropriate to the risk, explicitly suggesting the pseudonymisation and encryption of personal data to protect the telemetry data.
- **Recital 78 & Recital 83:** Recital 78 emphasizes that adopting internal policies and implementing measures which meet the principles of **privacy by design and data protection by default** is essential. Recital 83 further supports this by stating that to maintain security and prevent processing in infringement of the regulation, the controller should evaluate the risks and implement measures to mitigate those risks, such as

encryption. These technological measures ensure that our empirical research does not compromise the fundamental rights of the data subject.